

The chart pattern looks like a backward and upside-down J. The breakeven failure rate is low, 9%, giving it a rank of 7 in bull markets and 4 in bear markets, where a rank of 1 (best) has the fewest failures. The average rise is 28% in bear markets, but that's good enough to rank the pattern ninth for performance.

Tour

What does an ascending and inverted scallop look like? [Figure 58.1](#) shows two examples. The left scallop begins at point A and ends at B; both are minor lows that mark changes in the short-term price trend. The volume trend is unremarkable except for a slight downward tilt. The second scallop starts at B and ends at C. The volume trend of this scallop is dome-shaped as shown.

I like to see a rounded top on the scallop, but a nubbin or two sticking out is fine. Sometimes the rounded shape appears not as a line connecting the highs, but connecting the lows. The key is that it looks like an upside-down and backward J, tilted to the right.